TEACHER GUIDE

AQA GCSE Business (8132)

Expanding a business

3.1 Business in the real world
3.1.7 Expanding a business



A revision lesson. Pupils run a car dealership in firms of four and revise expanding a business on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	**45 min**	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 Bulk order saving

Round 1

One big order.

Saved on the whole order?

List price per car	**£17,000**
Discount on big orders	**5%**
Cars in the big order	**11 cars**

ANSWER

£9,350

11 × 5% × £17,000 = £9,350

Why: Each car saves £850. The order saves £9,350.

2 Economies of scale

Round 1

Your firm doubles in size.

Which two are economies of scale?

- **A** Slower decisions
- **B** Bulk discounts from suppliers
- **C** Staff feel less valued
- **D** Higher rent for a bigger site
- **E** Cheaper loans as a bigger firm

ANSWER

✓ Bulk discounts from suppliers
✓ Cheaper loans as a bigger firm

Why: Bulk buying and cheaper finance cut the cost per car.

3 Rank cost per car

Round 2

Three dealers: total costs and cars sold.

Order by cost per car, lowest first?

- **A** £90,000 for 30 cars
- **B** £200,000 for 80 cars
- **C** £50,000 for 10 cars

ANSWER

1. £200,000 for 80 cars
2. £90,000 for 30 cars
3. £50,000 for 10 cars

Why: £2,500, £3,000, £5,000 a car.

Topic tasks

4 Unit cost per car

Round 2

A month of sales.

Unit cost: cost per car sold?

Fixed costs, a month	**£3,600**
Variable costs, a month	**£133,200**
Cars sold a month	**8 cars**

ANSWER

£17,100

(£3,600 + £133,200) ÷ 8 = £17,100

Why: Unit cost is all the costs shared between the cars.

5 Branch or takeover

Round 3

You want to grow with little risk: one more branch paid from profit, or a takeover on a big loan.

Which should you choose, and why?

A One more branch from profit

B A takeover on a big loan

ANSWER

✔ One more branch from profit

Why: Growing from profit avoids a big debt and a firm you do not know.

6 Bigger yard saving

Round 3

A bigger yard?

Fall in cost per car?

Total costs now	**£157,500**
Cars sold now	**15 cars**
Total costs, big yard	**£277,200**
Cars sold, big yard	**28 cars**

ANSWER

£600

£157,500 ÷ 15 = £10,500; £277,200 ÷ 28 = £9,900

Why: The bigger yard cuts the cost of each car by £600.

Final questions

Each pupil answers 6 final questions on expanding a business. They come from these 9 questions.

1 Which action is an example of organic growth for a motor retailer?

✔ **Opening another branch with its own money**

2 A dealer group combines branch orders and negotiates a lower unit price from a supplier. What is the direct benefit?

✔ **Lower cost per part**

3 A dealer buys an established repair chain instead of building new sites itself. What is a main potential advantage of this external growth?

✔ **Faster access to operating sites, customers and skilled staff**

4 Before the CEO opens a second branch, what should be checked?

✔ **Demand, finance and staffing**

5 A dealer group buys 500 tyres at once and pays less per tyre than a small garage does. Which economy of scale is this?

✔ **Purchasing economies**

6 A dealer's total costs are £600,000 for 300 cars. After growing, they are £880,000 for 500 cars. What happens to the cost per car?

✔ **It falls by £240**

7 A large dealer group buys 500 cars at once and pays a lower price for each car. Which economy of scale is this?

✔ **Purchasing economies**

8 A workshop's costs are £36,000 for 300 services a month. Next month it does 400 services for £40,000. What is the new cost per service?

✔ **It falls to £100**

9 A dealer group grows to 30 sites. Messages from head office now take days to reach staff. What is this an example of?

✔ **A diseconomy of scale**